

Government E-Marketplace (GeM)

SOP Version 1.0 (GeM-TReDS Integration)

MSME Payment Financing via TReDS Platform

About TReDS

TReDS (Trade Receivables Discounting System) is an RBI-authorized, online platform in India designed for MSMEs to easily convert their trade receivables (invoices) into immediate cash through competitive bidding by financiers. It streamlines working capital access by facilitating, discounting, and factoring of invoices without recourse, primarily connecting MSME sellers with corporate buyers and banks.

Objective

The primary goal of this integration is to enable timely payments to MSMEs supplying goods and services to Central Public Sector Enterprises (CPSEs) by facilitating bill discounting through an RBI-regulated TReDS platforms, integrated with GeM. This Standard Operating Procedure (SOP) provides a step-by-step guide for MSME Sellers and CPSE Buyers registered on the Government e-Marketplace (GeM) to avail this facility.

Scope

This SOP applies to the following participants:

- MSME Sellers registered on the GeM platform who wish to receive early payment against their invoices through bill discounting.
- CPSE buyers registered on GeM.
- TReDS platforms managing the discounting workflow.

Guidelines for GeM users

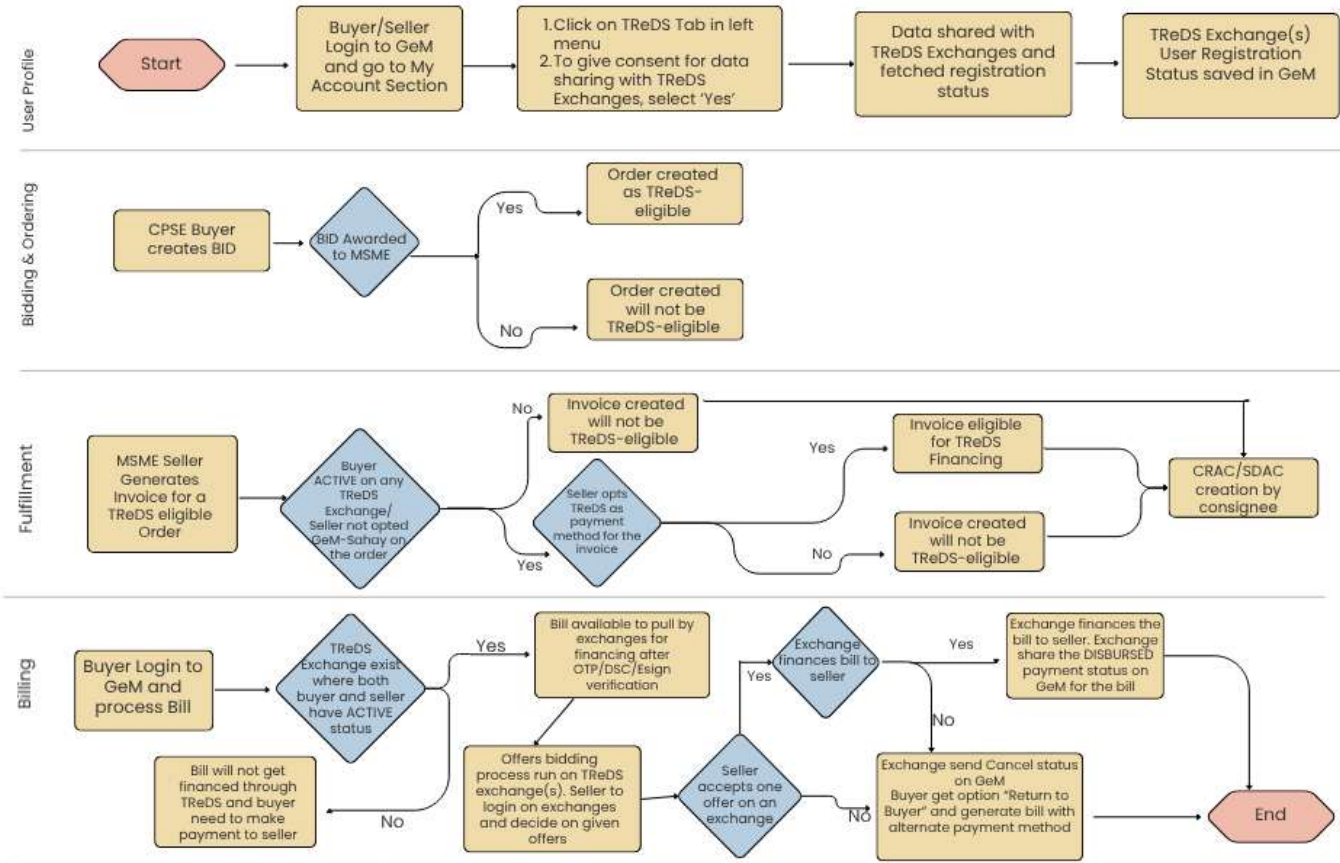
For Sellers

1. Ensure timely onboarding on TReDS platform by giving consent on GeM.
2. Select the TReDS option while generating invoices on GeM for early payment.
3. Keep Udyam Registration status and bank account details updated on both GeM and TReDS Platform.
4. Monitor bids from financiers on TReDS platform and decide on the offers.

For Buyers

1. Complete onboarding on TReDS at the earliest as per Ministry of Micro, Small and Medium Enterprises (MSME) guidelines.
2. Ensure payment initiation on due dates to maintain good standing.
3. Encourage MSME suppliers to onboard on TReDS for mutual benefit.

User Journey



Reference links

GeM TReDS Buyer Guide (PDF)

https://assets-bg.gem.gov.in/resources/upload/shared_doc/training_content/Trade-Receiveables-Discounting-System-TReDS-Buyer-updated-1777454743.pdf

GeM TReDS Seller Guide (PDF)

https://assets-bg.gem.gov.in/resources/upload/shared_doc/training_content/Trade-Receiveables-Discounting-System-TReDS-Seller-updated-1777454783.pdf